"These are only points discussed & in the class. you have to read the books for exam ~~purp~~ purposes.

BCA Sem-I

Course: Indian Economy

Lecture 1

Unit-I Few basic concepts of 'Economics' and 'Economy'.

Economics:

For simple understanding: 'Economics' is a subject which deals with the study of production and distribution in human society. There are unlimited wants. But there are limited resources. The subject matters of 'Economics' are concerned with the efficient use of the available limited resources to meet the unlimited wants. The activities in these processes of production and distribution are what we call economic activities. Four factors of production (land, labour, capital, and organization) are needed for performing economic activities. For performing economic activities (production and distribution), a series of decisions making are taken. Depending on who own the factors of production (means of production) and takes these decisions, economic systems are known as either feudal or capitalist or socialist.

'Economics' is under "Social Sciences". It cannot be fully understood by the methods of pure sciences. A part of it is like pure sciences. But there is another part which relates to the complex world of human behavior.

'Economy'

Subject matters of 'Economy' relate to the study of the nature and characteristics of economic activities, their status and their changing pattern over time-space and persons within a geographical boundary- be it a country, a state, a district, a block or a village.

Simple understanding of the following frequently used concepts is necessary:

GDP and GNI of an economy, per capita GDP and GNI of an economy, Growth rates of GDP and GNI.

Full form of GDP is Gross Domestic Product. There are different measurement concepts of GDP (GDP at factor cost, GDP at market prices, again these are measured at different price levels, at different currencies etc.).

Simply saying GDP is the total monetary value of all the final goods and services produced by the economic activities within a country's territory in a specific time period. Higher level of GDP means higher levels of economic activities and higher levels of goods and services for the people of the economy and will have a higher standard of living. For this reason, citizens and political leaders see GDP as an important measure of nation's development.

Full form of GNI is Gross National Income. As in the case of GDP, here also there are different measurement concepts of GNI. Simply saying GNI IS the total amount of money earned by a nation's people and businesses. In measurement of GNI considers income of all the citizens of the country, regardless of whether it is earned within the country or overseas.

Growth Rates of GDP/GNI

Simple Growth Rate of GDP: it is also known as year to year growth rate. It is measured as follows:

Simple Growth Rate of GDP=

(GDP in a particular year- GDP during the previous year)/ GDP during the previous year

Compound Annual Growth Rate(CAGR)=

CAGR = (GDP of a particular year) / (GDP of any previous year) ^ (1/n) -1. Where 'n' denotes the number of years of difference between the two years. Or Divide the GDP at the end of the period by its value at the beginning of that period. Raise the result to an exponent of one divided by the number of years. Subtract one from the subsequent result.

CAGR, which stands for compound annual growth rate, is the rate at which GDP grows. Calculating the CAGR for GDP between two points (years) can show how well the economy performed in that time period.

Above described concepts are frequently used in the studying the development of an economy. In the next class we will discuss the concept of development and classification of the countries in the background of economic development.

Lecture 2

American President Truman in 1949 defined the largest part of the world as 'underdeveloped' areas. The new world view was announced: all the people of the earth were to move to one goal, 'development'. Countries having less than one quarter of the US per capita income were termed as 'underdeveloped countries'. Later on, United Nations(UN) termed these countries as 'Developing Countries'. These are the countries having low level of income relative to the income of USA and other developed countries. But these countries are making efforts to improve their economies.

World Bank Classification of Developing Countries on the basis of per capita income calculated using US $ exchange rate (Source: World Development Indicators,2015, published by World Bank)

1) Low Income Countries (less than $936)
2) Middle Income Countries ($937-$11455)
3) High Income Countries (Above $11455)

Again 'Middle Income Countries ($937-$11455)' were grouped under two heads:

i) Lower Middle Income Countries ($937-$3705)
ii) Upper Middle Income Countries ($3706-$11455).

Indian economy with its per capita income of $1507 fell under the group 'Lower Middle Income Countries'. But because of the high rate of growth of GDPs achieved by Indian economy during the last two decades, it is called the emerging economy of the world. In the next lecture we will discuss the nature and characteristics of Indian economy.

Lecture 3

1. Mixed economy

After independence national leaders took the decision to follow the path of mixed economy where bot public sector and Private sector would stay side by side. But the public sector would be given dominant role in the economy.

2. Dual economy:

In Indian economy there is co-existence of advanced modern technologies and traditional primitive technologies in agricultural as well as in industrial and service sectors. Traditional primitive technologies are labour intensive and here products can be produced by a wide range of technologies and wide range of combination of labour and capital and there exists variable technological co-efficient of production. Advanced modern technologies are basically capital intensive and there is limited scope of technical substitution of factors of production. Technological co-efficient of production remains generally fixed here.

3. Rural-Urban dichotomy

Larger part of Indian economy is rural. But its urban part is fast growing. India is a land of villages. According to the 2011 Census, India has more than 6 lakh villages while there are around 7,000 towns and urban centres. Out of a total population, rural population accounts for nearly 70% and urban population approximately 30%. Rural economy, backward economy, agricultural economy are sometimes used as synonyms; similarly urban economy, advanced economy, industrial economy are considered as synonyms. But these are not proper. Within the rural economy there exists traditional as well as advanced economic activities. Similar is the case in urban economy.

4. Caste-Class based economy

   Caste may be understood by the heredity transmission of life. This includes ritual purity, status, occupation, etc. A class refers to the economic stature of a person in society. There are many factors that influence class like money, wealth, occupation, etc. There are many ways in which caste impedes the economic transformation in India.

Lecture 4: Gross Domestic Product (GDP) and growth rate of GDP are measures of a country's general economic prosperity. India is now the fifth-largest economy in the world GDP rankings list due to its strong economic foundations, thriving domestic demand, careful financial management, high saving rates, and favourable demographic trends. The country's major economic contributors are traditional and modern agriculture, technology services, the handicraft industry, and business outsourcing.

India's rank in GDP

Rank	Country	GDP (in U.S. dollars)	Annual Growth rate
1	United States of America	23.3 trillion	1.58%
2	People's Republic of China	17.7 trillion	6.3%
3	Japan	4.9 trillion	1.3%
4	Germany	4.3 trillion	0.2%
5	India	3.75 trillion	7.2%

GDP per capita is a way to achieve economic well-being that takes into account both the size of a country's economy and its population. The gross domestic product (GDP) divided by a country's population is a useful measure of the level of living and economic prosperity in that country. Many persons consider it as an indicator of citizens' standard of living.

Countries	GDP per capita (constant 2015 US $)	Growth Rate of per capita GDP
India	$2085(2022)	6.3%
China	$11560(2022)	3%
USA	$62866((2022)	1.7%
World	$1287(2022)	2.3%

Huge Population

Countries	Population (Crs)	Area(Sq KM)	Density(Population per Sq KM)	Population Growth Rates
India	143	3.0	481	0.81 %
China	142	9. 4	151	-0.02
USA	34	9.1	37	0.5

Growth rate of population is the difference between birth rate and death rate. Death rate has declined rapidly over time but the birth rate has declined slowly.

Decades	Birth Rate	Death Rate
1911-1920	49.2	48.6
1951-1960	40.0	18.0
2010-2011	21.8	7.1

Study of population changes over a long period is known as 'Demographic Transition' and it has three stages. During the first stage birth rate and death rate both are very high and there is stagnation of growth. In the second stage death rate rapidly declines but the birth rate declines slowly and there is high growth of population. In the third stage birth rate also declines and there is low growth rate of population. In recent years in India we have entered in the third stage of demographic transition. There are different reasons behind the rapid fall in the death rates and slow decline of birth rates over these stages.

Indian population is characterized by imbalances in gender composition and there are wide variations in sex ratios among the different zones as well as among the states. There exist different reasons behind these imbalances.

Lecture 5

India's rank on a per capita income basis is 139 as per IMF.

India ranks 107th out of 121 countries in the Global Hunger Index (GHI), 2022 rankings. India has slipped 6 positions from its 2021 rank of 101.

The Global Hunger Index (GHI) is a tool that attempts to measure and track hunger globally as well as by country. It is prepared by European NGOs of Concern Worldwide and Welthungerhilfe.

Age-group wise distribution of a population is called population age structure. It helps to measure the dependency ratio of the economy, size of the working-force of the population, population in the reproductive age group etc. These are essential for formulating development plans and population policies of the country. Knowledge of educational level wise distribution of the population helps in designing plans for the development of human resources. Similarly, demographic data on income, wealth, gender, health etc are required for planning of economic and social justice.

Demographic Dividend

We have been taught that population of a country is a liability. Can we consider population as an asset?

India has definite advantage when the age composition of the population is considered. It is customary to classify population into three groups:i) Child population, ii) young and working/labour force population and iii) Old age population.

Dependency load:

India's population age structure: Child population 35.5%, young and working/labour force population 60.1% and Old age population 4.4%.

Percentage of population in the working age group is very high in India and dependency ratio is relatively low.

Lecture 6

Economic Structure of India:

Sectoral Composition of GDP.

To start with, economic structure can be understood by considering the economic activities going on in a country. Economic activities can be broadly classified into three categories, viz., primary sector activities, secondary sector activities and tertiary sector activities.

The primary sector activities include all those essential activities where nature is the main determining factor in production such as agriculture and allied activities like animal husbandry, forestry, fishery, poultry farming, mining and quarrying etc.

Secondary sector activities are those that take the output of the primary sector and create new products; it includes manufacturing industries composed of both large, medium, small scale industries, handicrafts and household industries.

Tertiary sector activities include all activities producing services (intangible products) like transport, communication, banking, insurance, trade, teaching, doctoring lawyering accounting etc.

1 Estimates of GDP by Industry of origin (percentage distribution) (India)

Industry	1951	1991	2001	2011	2017
Primary	59.2	34.0	30.5	16.7	15.4
Secondary	13.3	23.3	23.8	25.9	23.1
Tertiary	27.5	42.2	45.7	57.4	61.5
Total	100	100	100	100	100

Source: Various Economic Surveys, Govt. of India.

The components of the GDP explain the anatomy of the economic structure. The changes in the sectoral composition of India's national income brings out the effect of process of economic development in India in the following way: -

1. The share of agriculture & allied activities in GDP has declined over a period of time.
2. The share of secondary sector has steadily increased at a modest rate.
3. The share of tertiary sector has increased at a substantial rate.

So, it is a well-established fact that the sectoral contribution of the GDP has witnessed considerable shift over a time with economic development.

Changes in occupational structure

As an economy develops, there occurs changes in the inter sectoral composition. Naturally population engaged in different sectors also changes. Another way of looking at the development process is to examine the changes in the distribution of the population and labour force among the sectors overtime. This distribution of population or labour force among the sectors is known as the occupational structure of the economy.

Occupational distribution of population also reflects on the degree of development and the diversification achieved in an economy. Let us now turn our discussion on the occupational structure of India. The occupational structure of India clearly reflects a high degree of backwardness prevailing in Indian economy. As far changes in Occupational structure in the Indian economy is concerned, it has changed with the economic development but at a slow pace. The following table helps us see the shift taking place from agricultural sector to secondary and tertiary sectors of the economy in terms of employment.

Occupational distribution of working population in India (%)

Sector	1951	1991	2001	2011-12
Primary	75	67.5	57.3	49.43
Secondary	10	11.7	17.6	23.77
Tertiary	15	20.4	25.2	26.80
Total	100	100	100	100

Source: Tata Services Limited: Statistical outline of India 2006-07.

Thus, from the Table above, following changes in the occupational structure of India is observed.

A. Agriculture even today is the main occupation of the people in India. It employs a very large proportion of working population. Though the dependence of the work-force on agriculture and allied activities has declined, it is still very high. This brings out the underdeveloped nature of Indian economy. In agriculture large percentage of workers are either self-employed or casual workers. They suffer from job insecurity. They are poor and also the vulnerable sections of the society. With more than half the population directly depending on this sector, low agricultural growth has serious implications for the 'inclusiveness' of growth.

B. As the industrialisation spreads during the growth process, the share of secondary sector rises. The process of transition from an agricultural economy to an industrialised one is taking place in India, but at a slow pace. This is mainly due to increase in employment in manufacturing in consumer goods industries and small sector and also increase in employment in the construction which is a labour intensive sector.

C. The process of growth takes place with an improvement in the share of service sector.

This is taking place in India largely due to expansion of transport and communication, banking and insurance, IT, Entertainment, Health Care, public administration and other services. This sector has acted as an important engine of overall growth of Indian economy in the recent years. There has been an increase in the share of tertiary sector in the employment in the above activities.

There was no clear shift in the work force from the primary to secondary or tertiary sectors in the country during the period 1951-1991. But after 1991, there has been a decisive shift in the occupational structure towards secondary and tertiary sectors. Rapid industrialisation and consequent growth of service sector since 1991 have started to provide more employment. This development is also generating the process of occupational shift in favour of secondary and tertiary sectors.

Factors Responsible for slow changes of Occupational Structure:

1. India's attempt for the development of the economy was not sufficient for utilizing the vast idle labour force in the rural sector. Because of poor success in institutional measures and almost no changes in the agricultural technologies in the initial decades agricultural sector failed to release the labour force from the agricultural sector. Moreover, planners did not make any serious attempt to enlarge the scope of non-agricultural activities within the rural sector. Rather traditional rural industries and services were gradually declining.

2. Land reforms in India failed miserably to realise its goal and to create small owner holding. These reforms could not diffuse the ownership of land among a large number of marginal cultivators.

3. Various other attempts such as credit and other types of cooperative institutions for providing cheaper credit and better marketing services could not yield much benefit.

4. Efforts of the planners to develop industries helped the large scale capital goods sector and the plans could not create much response to the development of small scale and cottage industries. This development of large scale highly capital-intensive industries could not create much employment potential and thus created no impact on the occupational structure of the country.

5. The high rate of growth of labour force is also an important factor which has been creating serious drags on the path of changing the occupational structure in India. This fast growing labour force without getting any subsidiary occupation open to them in the rural areas stated to eke out their living from agricultural sector alone.

This led to a huge dependence as well as a high degree of disguised unemployment in the agricultural sectors.

Thus under this present situation occupational structure in India can be amended suitable only when the country will start to develop its labour-intensive sectors that include small scale and cottage industries, allied activities in the primary sector such as animal husbandry, fishing, poultry farming etc. and the service sectors as well as so to foster the growth of non-agricultural employment side by side with modern large scale industrial sector.

Development of this huge labour-intensive sector will raise the level of employment and income both in the rural and urban areas. The development of this labour intensive sector will be able to bring changes in the occupational distribution of population from agricultural to non-agricultural occupations.

Lecture 7

Quality of population:

Quality of population is discussed in terms of health and education including training and skill development.

The health status of a population can be measured by a wide range of factors: birth and death rates, life expectancy, quality of life, morbidity from specific diseases and conditions, environmental risk factors, use of ambulatory care and inpatient care, financial and geographical accessibility of health personnel and facilities, health insurance coverage, and many other factors.

While no single set of measures can completely characterize the health of a large and diverse population. Life expectancy and mortality data are considered as indicators of overall population health because they represent the cumulative effects of social and physical environmental factors, behavioral and genetic risk factors, and the level and quality of health care.

Life Expectancy at birth (in years) in India:

Years	All Persons	Male	Female
1960	45	46	45
2001	63	62	64
2019	71	70	72

World average life expectancy in 2020 was 72.63 years, USA 77.28 years in 2020.

Infant mortality is a useful measure of health status. It reflects the overall state of maternal health, as well as the quality and accessibility of primary health care available to pregnant women and infants. The infant mortality rate is the number of deaths of children under one year of age per 1,000 live births. This rate is an important key indicator for a country's health and standard of living; a low infant mortality rate indicates a high standard of healthcare.

Infant Mortality Rates

Years	All Persons	Male	Female
1960	162	168	156
2001	64	63	65
2019	28	28	28

In 2021, the infant mortality rate in India was at about 25.5 deaths per 1,000 live births. The infant mortality rate for World in 2020 was 27.974 deaths per 1000 live births. In 2020, the infant mortality rate in the United States was 5.4 deaths per 1,000 live births.

Education

Literacy rate of India 2021 : Literacy level and educational attainment are vital indicators of development in a society.

In earlier Censuses up to 1981, it was customary to work out the literacy rate taking into account the total population. Since literacy rate is more meaningful if the sub-population in the age group 0-6 is excluded from the total population, it was decided in 1991 to calculate literacy rate for the population seven years and above. The same concept has been retained in all Censuses since 1991. A person, who can only read but cannot write, is not literate. In the censuses prior to 1991, children below five years of age were necessarily treated as illiterates.

The literacy rate taking into account the total population in the denominator has now been termed as 'crude literacy rate', while the literacy rate calculated taking into account the 7 and above population in the denominator is called the effective literacy rate. The formula for computing crude literacy rate and effective literacy rate are as follows:

Crude Literacy Rate = Number of Literate persons X 100 / Total Population.

Effective Literacy Rate = Number of Literate persons aged 7 and above X 100 / Population aged 7 and above.

Literacy rate:

As per the census of 2011, the literacy rate of India is 74.04%. Literacy rate of the male population was 82.14% and that of female population was 65.46%.

Literacy Rate of India in 2022 is 77.7 per cent. Kerala (94) , Bihar(61.8) in 2011 Rajasthan(66.!), AP(67.0), UP(67.7).

Of the 77.7% Indian literacy rate in 2022, male literacy rate stands at 84.7% and female literacy rate stands at 70.3% as compared to global average female literacy rate of 79%.

Gross enrollment:

Elementary Education – 100%,

Secondary Education - 79.6%,

Sr Secondary- 57.6%,

Higher Education- 27.3.